Note 9 - Income Taxes

Temporary differences giving rise to the deferred tax liability (benefit) consist primarily of the excess of depreciation for tax purposes over the amount for financial reporting purposes and gains and losses on investments recognized for financial reporting purposes that are not recognized for tax purposes.

The provision for income taxes was as follows for the years ended December 31:

	1999	1998	1997
Current:			
Federal	$ 0	$ 55,713	$ 0
Benefit Net Operating Loss Carryback	(42,645)	0	0
Deferred Tax Provision	10,835	54,288	(5,731)
Total Provision for Income Taxes	$ (31,810)	$ 110,001	$ (5,731)

Deferred tax assets and liabilities at December 31 consisted of the following:

	1999	1998
Deferred tax assets:		
Net unrealized loss on available for sale securities	$ 118,794	$ 0
Net unrealized loss on investment in American Equity Investment Life Holding Company	53,340	0
	172,134	0
Less valuation allowance	(93,414)	0
Total deferred tax assets	$ 78,720	$ 0
Deferred tax liability:		
Net unrealized gain on investment in American Equity Investment Life Holding Company	$ 0	$ 104,886
Net unrealized loss on available for sale securities	0	(35,050)
Other book and tax differences	0	(3,156)
Net Deferred Tax Liabilities	$ 0	$ 66,682